BUSINESS MODEL EVOLUTION



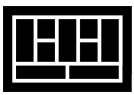
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SUPER GUIDE:

BUSINESS MODEL EVOLUTION

BY DANIEL PEREIRA



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INTRODUCTION

The term business model is relatively new and still raises a lot of doubts about its definition and how everything works. Some descriptions are even simplistic when summarizing a business model as just the way a company makes money.

In fact, an efficient business model is much more comprehensive and deeper than that. The business model describes, in short, how an organization creates and delivers value in a given socio-economic and cultural context.

And, in order to follow all these socio-economic and cultural changes and transformations, to keep up with its target audience, offers, strategies, organizational structure, operational and political processes, the business models evolve.

“Business model evolution is the process of aligning the components of the business model through voluntary or emergent changes to achieve a better fit or congruence between them in order to create and capture value more efficiently.”

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WHY BUSINESS MODELS EVOLVE

As mentioned above, a business model aims to picture how a company or organization will generate revenue and profits. The objective is to identify the product and/or service to be sold, as well as the public to whom it will be offered, while anticipating the expenses involved in the entire production and sale process, in pursuit of the established goals.

Most business models can actually be profitable for a long time. But they do evolve. And, when they do, it is mostly for three main reasons:

1. Technology Disruptions
Technology is maybe the scenario that quickly changes these days. And, due to that, consumers also change their interests, behaviors, and, consequently what and how they perceive value. And these new perceptions will also provide new technology transformations, as a cycle.

That's how we left reading news on the paper and started to read them online. That's how we left believing everything we see on TV or on the internet and began questioning it on social media, for example.

2. Commoditization
When a product or service is not able to compete on value, it becomes a commodity, by simply competing on price. Therefore, it will be forced to scale the business, just by selling on quantity.

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Sometimes, when a new commodity rises, an older one fades away. It is the case of the telephone industry and service. As a result of the commoditization of cell phones (now smartphones), landline telephones have mostly disappeared, since people don't perceive value in that anymore.

3. Competition

On the other hand, when a product or service bases its sales on its actual value, not price, competition will play an imperative role. Competition is, indeed, the most evident reason for business models to evolve - and it also contributes to the first two elements.

It is not unusual that too much competition results in a changing business model (and even in a blue ocean scenario). On the opposite side, too little competition is able to delay or even kill innovation, especially when the market leader relaxes.

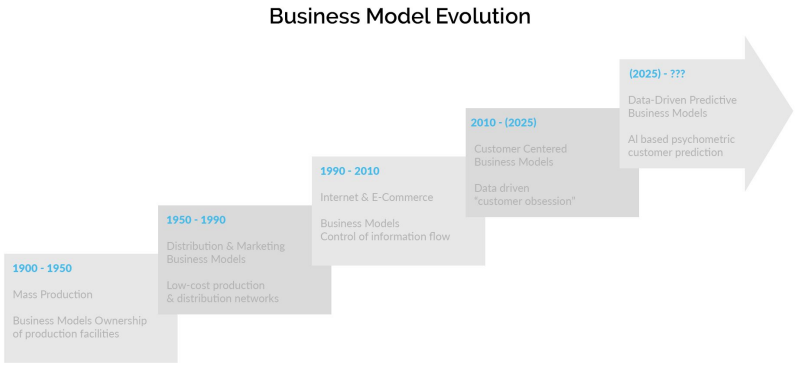
That's how Google has taken over Microsoft Office's space, by offering a new freemium business model that has earned users' trust.

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BUSINESS MODEL EVOLUTION TIMELINE

Surely you have already noticed that some brands and companies have vanished from the market, such as Blockbuster, or reduced - and even changed - their share, such as Kodak. The truth is that, somehow, these businesses missed some points at the strategic level, eventually outdating their business models.

As said before, business models need evolution, in order to follow socio-political expectations and technological innovations. And that has been the same all over history. Check it out:



1900-1950

The early 1900s brought the advent of mass production to manufacture. It was first introduced at Ford Motor Company, between 1910 and 1920, with the Ford-T model.

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A high degree of standardization at technology, processes, and design, associated with technical innovations made it possible to reduce the cost of car production at a point that the sale cost lowered to less than 50%.

Ford-T became rapidly the best-selling car of the time, with sales overcoming all the competitors' together. The mass production, therefore, turned into a meaningful competitive advantage (for other companies as well, such as GE and P&G) and permitted to make the products affordable for a broader population.

1950-1990
The age of mass production would meet global transport systems the next half-century, promoting, therefore, the age of distribution. Logistics was, then, the new greatest advent, summed up with standardized production.

Besides, the post-war years characterized an enhanced purchasing power of the population, also fomented by customer-targeted campaigns and, mainly, low prices, which were reached by outsourcing production and separating facilities across continents, increasing logistics and distribution.

1990-2010
The two decades before and after the millennium change was known as the age of information, especially due to the popularization of the internet. Data processing was able to increase production and distribution efficiency and, more than that, create new business models, never seen before, like advertising-financed companies such as Google and Facebook.

Thanks to the internet and technological innovations, some business models became scalable for a global market, with worldwide supply chains. Also, new monetization concepts

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were developed, like freemium (with Skype). Besides, some online-centric companies, such as eBay and Amazon were founded in this period.

2010-2025
These days, most companies are placing the customer over other traditional strengths of businesses. Because now the user is able to have all the information over the product, availability, and prices from anywhere on the planet.

The strategy has changed. Product innovation is now replaced by real-time knowledge about the customer's needs and wishes. Logistic chains are optimized customer journeys through adequate channels. Advertising is losing space to interactive marketing. The power is in the customer's hands: the product that best meets what they want gets the deal.

2025-??
Possibly, the next decades will keep focused on the customer. The difference is that we will have more technology to predict their needs, wishes and expectations, by applying AI/cognitive technologies, and psychometric methods.

Businesses' success will, therefore, depend on owning a broad data set on the consumers. So, business models targeted at data collection will probably have a great advantage over productions and other service segments.

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THE DIGITAL EVOLUTION

The main drive of business model evolution is the digitalization of means, products, and services. However, although we are all able to see what digital technology has allowed Apple to cause to the musical industry or Uber to taxis, the digital is still fomenting a few new business models - or business model turning points.

On the other hand, digital can actually help enhance current products and services, making business models evolve, instead of transforming or being launched. Digital technology may indeed permit entrepreneurs to rethink their products, resources, processes, and models. One good example of that is General Electric. GE would always invest in product innovation in order to keep it up-to-date and competitive.

Nowadays, the company is rethinking its model, by monitoring the production through advanced analytics. This real-time data allows enhancing efficiency, productivity, and maintenance, thus quickly adapting its model to customers' values and increasing profitability. Besides, GE can even change the nature of its products and bring the customer closer.

Another example is the Spanish-language media company Entravision, which reaches the Latino audience in the U.S. The company has always processed a great deal of data due to its contracts and started to collect fine-grained behavioral insights over this public.

That has become a valuable currency to trade with

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companies that sell products and services to the Latino population. That's how Luminar was founded, in 2012, to offer big data as a service to clients such as Nestlé and Target.

So, it is possible to state that, although consumers expect changes due to digitalization, companies do not actually need to revolutionize or build new business models from scratch. In fact, they may simply evolve their business models using digital technology.

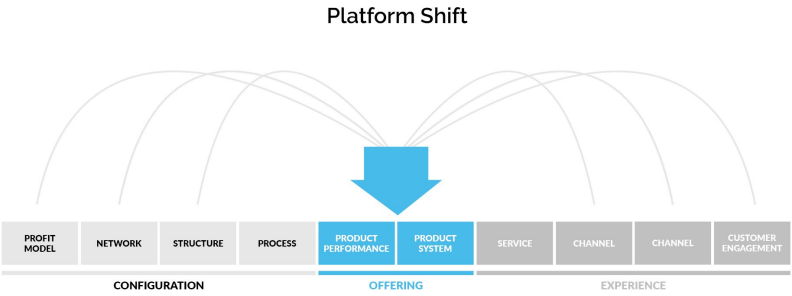
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BUSINESS MODEL SHIFTS

Business model evolution usually occurs through shifts. The shifts are small changes in a current business model, such as a shift of a value proposition or of a customer segment.

In the past, the number of business model shifts was limited, because the companies evolved linearly and, therefore, slowly. Nowadays, shifts are getting more and more frequent, and probably data will become a more imperative value for the customer than the product ou service itself.

The combination of these small changes groups up into six business model shift movements:



The shift is from Pipeline to Platform, and it changes as a result of where the value is created. Instead of the transaction, the value is in the interaction. A good example of that is Uber. The service is the same as a taxi could provide.

But the value trigger lies in the fact that, with Uber, the

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passenger knows how much the ride will cost and when they will get to the destination, before even getting in the car.

THE DIGITAL SHIFT

The shift is from Analogue to Digital. The digital allows a new kind of accessibility, faster and cheaper than offline operations, mostly. An example is Picnic online supermarket. They actually have no supermarket, just distribution centers.

The users will access the products through an app and receive their groceries within 30 minutes, at no delivery fee. On the business's side, it has a 70% cheaper cost structure, with real-time customer-driven information and no stock.

THE SERVICES SHIFT

The shift is from Products to Services. The value depends on the problem the customer has solved. Netflix, for example, had had this shift even before streaming or on-demand. Because, in the beginning, the differential of Netflix was the service, not the product.

The company started as a DVD delivery that would charge their customers a regular monthly fee, instead of an individual fee like the video rental stores. Basically, the product was the same, DVDs, but the service and the revenue streams were completely distinct.

THE EXPONENTIAL SHIFT

The shift is from Incremental to Exponential. Usually, a company grows slowly and steadily, in a regular curve. Exponential growth, on the other hand, is about scaling faster, but also effectively. For that to be true, instead of satisfying

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simple needs, the value is created by a self-sustainable mechanism with a profound change, generally, global.

A great example is SpaceX. Before it, only government agencies had the means to fire a rocket. But SpaceX made it commercially available.

THE STAKEHOLDER SHIFT

The shift is from Shareholder to Stakeholder. Shareholders invest in order to get profit with the business. And, in order to reach that, they have demands and choices that not everybody enjoys or agrees with.

Stakeholders, on the other hand, aim to benefit everyone involved, starting with the customers, who will feel cared for and, therefore, be loyal to the brand.

An example of this shift is Starbucks. With the financial crisis in 2008, they went for their customers, asking for ideas - literally. And the company tested 100 of them, giving voice to the consumers and pleasing the community. Besides, the company has global initiatives, making it known as a responsible and reliable business.

THE CIRCULAR SHIFT

The shift is from Linear to Circular. In this case, the value is created in reusing and cutting down waste, in order to reduce the footprint.

Particularly after the implementation of the UN sustainability goals in 2015, the awareness of sustainability has increased. That means working with carbon accounting, sustainability strategies, and life cycle analysis.

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Patagonia, a famous American outdoor clothing company, is a good example. The company works towards closing the resource loop to promote circularity.

For that, they include self-repair tools and offer a knowledge bank for customers to fix damages to the clothes and wear them longer.

If that is not enough, the customer can send it back to their repair plant or the brand can collect the piece to be sold second-hand. Finally, the items that cannot be repaired are broken down to be part of something new.

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CONCLUSION

Technology and social behaviors are changing customers' expectations and, therefore, the way companies do business. There are many new opportunities for business models.

However, while building new ones can be pretty expensive, challenging, and risky, evolving your business models may be easier and profitable.

In order for that to happen, start by analyzing how you can deliver greater value to your customers. That can actually give you insight into your business model innovation before you search for the next big revolution.

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